Menon Pistons Ltd

Concall Tracker · Q2 2027 · first report

1. Snapshot

Kolhapur maker of pistons, piston assemblies, gudgeon pins and plungers for tractors, commercial vehicles and diesel gensets. It sells mostly to vehicle and engine makers (OEMs) like Cummins India, plus the spare-parts market and exports through a group company, Menon Exports. Two subsidiaries, Rapid Machining Technologies and Lunar Enterprise, do machined components.

Number	Value	What it means
Market cap	Rs 355 cr	What the market values the whole company at; a small company.
FY26 consolidated income	Rs 306 cr	Up about a fifth on FY25's Rs 254 cr, per CARE. Standalone sales grew about 15%; the two subsidiaries grew over 40%.
FY26 consolidated profit	Rs 25.6 cr	Up from Rs 23.9 cr, slower than sales because margins slipped.
Q2 FY27 consolidated revenue	Rs 93 cr	Up about a quarter on Rs 74.5 cr a year ago; the best quarter in the data read.
Q2 FY27 consolidated profit	Rs 8.8 cr	Up about a quarter on Rs 6.9 cr a year ago.
Overall gearing	0.03x	Debt is almost nil against shareholders' money after the term loan was prepaid.
Stock P/E	18.7x	On standalone profit (Screener); a modest price for the earnings.

2. Concall coverage

No concall transcripts were available on Screener. This report is based on a global web deep-dive.

Sources used:

- Screener.in company page and financial tables (MENNPIS)
- BSE filing, 31 Oct 2026: Q2 FY27 standalone and consolidated results and board meeting outcome
- Annual Report FY26 (49th) and FY25 (48th): Directors' Report and Management Discussion and Analysis
- CARE Ratings press releases, 7 Jul 2026 and 18 Jul 2025

Latest update highlights: Q2 FY27 results (BSE filing, 31 Oct 2026)

- Consolidated revenue about Rs 93 cr, up roughly 25% on the same quarter last year and about 12% on the June quarter. Profit about Rs 8.8 cr, up roughly 26%.
- Standalone operating margin about 13%, close to the 13.6% of a year ago but well below the 15-17% the group earned in earlier years.
- Board added an independent director, Dr D. T. Shirke, a statistician and former vice-chancellor of three state universities; an existing independent director completed her term. No change at the top.
- No earnings call, no investor presentation and no guidance were published. The company has never held a concall that Screener lists.

Business mix & capacity

Domestic vs export: FY26 (CARE): OEM sales 65% of income, spare-parts market 18%, exports through group company Menon Exports 15%, the rest to state transport units. So roughly 85% is sold in India.

Capacity use: Installed capacity of 36 lakh pistons, 27 lakh gudgeon pins and 24 thousand plungers a year (CARE). Utilisation not disclosed.

3. Earning Trigger thesis

There's no management-stated trigger, because there are no calls and the annual reports only use stock lines about 'new technologically advanced products' and 'new customers'. What the rating agency points to is steady demand for pistons from tractors and trucks, a new product design for Cummins genset engines that added to FY26 sales, and more machined components through the two subsidiaries, which grew over 40% in FY26. That growth is showing in sales, but margins have fallen, about 30% of revenue comes from two customers, and pistons belong to diesel and petrol engines that electric vehicles don't need.

Trigger	What management said	Evidence so far	Time horizon	Strength
Cummins genset product	CARE (Jul 2026): new product design for Cummins genset applications contributed to revenue growth	FY26 standalone sales up about 15%	Now	Moderate, one customer
Machined components via subsidiaries	CARE expects profitability held by 'an increased focus on machined components'	Subsidiaries' income grew over 40% in FY26	Now	Moderate, small base
Tractor and truck demand	CARE: healthy demand from tractor and commercial vehicle segments in FY26	Q2 FY27 consolidated revenue up about 25%	Follows the vehicle cycle	Weak, cyclical not company-specific

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	Yes	Term loan prepaid; gearing down to 0.03x from 0.11x and the loan facility withdrawn after full repayment (CARE, 7 Jul 2026).
New business	Yes	New product design for Cummins genset applications contributed to FY26 revenue growth (CARE, 7 Jul 2026).
Margin up	No	Margin fell to 15.2% in FY26 from 17.1% (CARE).
New management	No	Only an independent director change (31 Oct 2026). Sachin Menon stays Chairman and MD.
New capacity	No	No plant addition announced; only solar power units for own use.
Big orders	No	No order book disclosed.
Turnaround	No	Not a loss-maker.
Promoter buying	No	Not disclosed in the sources read.

The single concrete driver: A new piston design for Cummins genset engines and more machined parts from the two subsidiaries lifted sales, per the rating agency.

3c. Margin bridge

Group operating margin fell to 15.2% in FY26 from 17.1% in FY25 because power and raw material costs rose in the March 2026 quarter (CARE). Price pass-through to customers comes with a 3-6 month lag, so part of this can come back; the standalone margin in Q2 FY27 was about 13%, close to a year ago. CARE expects profitability to be maintained (one-off).

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
FY24 annual report onwards	'Increasing the revenue and give better results in coming years' with new products and new customers (same words each year)	Standalone sales flat in FY24 and FY25, up about 15% in FY26; profit fell in FY25	Partly
FY25 annual report	'Another steady year of growth in our topline'		Partly

Period	What was promised	What actually happened	Verdict
		Standalone turnover rose only from Rs 210.9 cr to Rs 212.4 cr, and profit fell from Rs 24.2 cr to Rs 17.3 cr	
FY26 (CARE view, not management)	Profitability to be maintained through machined components	Q2 FY27 standalone margin about 13% vs 13.6% a year ago	Too-early

Narrative drift: Hard to judge. Management gives no targets, no calls and no presentations; the annual report outlook paragraph is almost word-for-word the same in FY25 and FY26. So there's nothing specific to hold them to, and what's said is generic. The numbers have been steady with no surprises, and the balance sheet has stayed clean.

5. Bottom line

Durable earning trigger? → MAYBE

Sales are growing again, helped by a Cummins genset product and the machined-parts subsidiaries, and the latest quarter was the best on record in the data. But that comes from the rating agency, not from management, it rides the tractor and truck cycle, and margins are lower than a few years ago.

Management consistent? → MAYBE

No broken promises, because there are no promises. The annual report repeats the same outlook every year, and in FY25 called a year of falling profit 'steady growth'. Clean balance sheet and steady dividends help, but there's too little disclosure to call them consistent.

6. Checkpoints for next quarter

- Consolidated sales keep growing on last year in Q3 FY27
- Operating margin holds near Q2 FY27 levels despite raw material prices
- Subsidiaries keep growing faster than the parent

This is not investment advice. Do your own due diligence.